

	Coefficient	T-stat
Alpha	0.65%	1.96
MKT Loading	0.67	8.94
SMB Loading	-0.50	-4.92
HML Loading	0.38	3.52
Adj R^2	0.27	

Buffett's alpha has fallen from 0.72% per month (8.6% per year) with the CAPM benchmark to 0.65% per month (7.8% per year). Controlling for size and value has knocked nearly 1% off Buffett's alpha.

First, note that the market beta has moved from 0.51 in the pure CAPM regression to 0.67 in the Fama–French specification. This is an indication that adding the *SMB* and *HML* factors is doing something—the market beta would stay the same only if the *SMB* and *HML* factors would have *no* ability to explain Buffett's returns.

The *SMB* factor loading in the Fama–French regression is $s = -0.50$. The negative sign indicates that Berkshire Hathaway is acting the opposite way from a small stock (remember, *SMB* is long small stocks and short large stocks). That is, Berkshire Hathaway has large stock exposure. Note that being large counts against Buffett's outstanding performance because large stocks, according to the Fama–French model, tend to underperform small stocks.

The *HML* loading of $h = 0.38$ says that Berkshire Hathaway has a strong value orientation; it tends to move together with other value stocks.

Thus, the negative *SMB* and positive *HML* factor loadings suggest that Berkshire Hathaway is a large, value investor. Duh, of course it is! It doesn't take the finance cognoscenti to know that this is the investing technique that Buffett has touted since founding Berkshire Hathaway in the 1960s. It is comforting that an econometric technique yields the same result as common sense. But the statistical technique gives us the appropriate benchmark to compute Buffett's risk-adjusted alpha.

The surprising result in the Fama–French regression is that Buffett is still generating considerable profits relative to the size- and value-factor controls: Buffett's monthly alpha of 0.65% is still outsized; the Fama–French model reduces the CAPM alpha by less than 1% per year. This is not because the size and value factors are inappropriate risk factors. Quite the contrary. The Fama–French regression has an adjusted R^2 of 27%, which is large by empirical finance standards, and much higher than the adjusted R^2 of 14% in the CAPM benchmark. The size and value factors, therefore, substantially improve the fit relative to the CAPM benchmark. Buffett's performance is clearly not merely from being a value investor, at least the way value is being measured relative to the CAPM.